

War Premiums Unwinding, Alliances Reshuffling

The Iran-US ceasefire held, Hormuz reopened, and oil crashed — but the geopolitical realignments it triggered are only beginning. NATO heads to Ankara amid European rearmament, the Fed tilted hawkish, AI export controls became a foreign-policy tool, and Europe's sixth-gen fighter programme split in two.

Weekly Brief

July 05, 2026

From Strait Crisis to Supply Glut: Oil's Whiplash Week

Brent crude fell below \$71/barrel by midweek — a three-month low — after the Iran-US stand-down agreement and the gradual reopening of the Strait of Hormuz erased the war premium that had dominated markets for weeks. The numbers tell the story: Iraq's oil exports collapsed from roughly 93 million barrels/month to roughly 10 million during the crisis, and Hormuz transits ran 58% below pre-war levels. Then the floodgates began to reopen. By July 4, the US lifted sanctions on Iranian oil under a 60-day waiver, unlocking billions for Tehran and accelerating the supply return. Morgan Stanley and UBS both slashed oil forecasts. OPEC+ hiked production quotas it could not fill — Kuwait alone surged from 580K to 1.65 million bpd. More than 60 million barrels of trapped crude began flowing back toward markets. But the physical market tells a more cautious story. Demining the Strait will take 40-50 days. Iran is pushing a \$40 billion 'toll' concept for Hormuz transit — part leverage play, part permanent grab. European aviation fuel remains at 80% of normal. The UAE rewrote its pricing benchmarks after leaving OPEC, targeting Asian buyers. Russia, facing its own refinery crisis from Ukrainian drone strikes, began importing Indian petrol to cover domestic shortfalls.

Why it matters:

The oil market is pricing a glut that the physical supply chain cannot yet deliver. Hormuz is open in theory but complicated in practice. The real shift is structural: Iran is positioning for a permanent toll on Hormuz, the UAE is building independent pricing, and Russia's dependence on Indian petrol marks a reversal from its traditional energy dominance. The war premium is gone; the security premium is just beginning.

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The Ceasefire That Held — Barely

After a weekend of US airstrikes on Iranian soil and Iranian missile strikes on American bases in Kuwait and Bahrain, Washington and Tehran agreed to stand down on June 29. Envoys headed to Doha for indirect talks that progressed in fits and starts through the week, establishing a communication channel but no direct meetings. The US-Iran MOU signed June 17 remains the framework, with a formal ceremony set for July 4 in Switzerland. Iran's calculus shifted dramatically with the death of Supreme Leader Ayatollah Khamenei. Six days of funeral ceremonies began, with authorities expecting up to 20 million mourners across Iran and Iraq. The succession — with Khamenei's son Mojtaba positioned as heir — turned the commemorations into an intensely political moment, with hardliners demanding revenge and pragmatists pushing to consolidate the diplomatic track. Meanwhile, Iran's cyberattacks on Israel tripled even as military de-escalation took hold — a reminder that in cyberspace, there is no ceasefire. And the \$6-12 billion in unfrozen assets heading to Tehran as part of the deal drew sharp criticism in Washington, where Congress rebelled against Trump's \$87.6 billion supplemental request for the Iran operation.

Why it matters:

The ceasefire survived its first week, but the forces it unleashed are still in motion. Khamenei's death creates both opportunity and risk: a new supreme leader could consolidate the diplomatic track or be pulled toward hardline retaliation. The financial flows to Tehran — and the cyber escalation — show that the conflict has moved, not ended.

Europe Rearms: Fighter Jets, Drones, and the NATO Burden Test

Europe's defence landscape fragmented and accelerated simultaneously this week. Germany formally withdrew from the Franco-German FCAS sixth-generation fighter programme, ending a €100 billion collaboration that had been stalled by irreconcilable industrial differences. Dassault demanded 80% of the Next Generation Fighter workshare; Airbus insisted on equal partnership. Eight German companies immediately formed 'Team Gen 6' for a sovereign fighter path, while a parallel Spanish group coalesced around Indra and ITP Aero. The UK moved in the opposite direction, awarding a £4.6 billion development contract for the GCAP sixth-gen fighter with Japan and Italy, backed by £8.6 billion in UK funding over four years. The UK also unveiled a £298 billion Defence Investment Plan — one of the largest by a European ally in recent years — with £5 billion earmarked for drone transformation and a £50 billion defence export facility. India approved ₹52,000 crore (\$5.5 billion) in defence procurements with a pronounced emphasis on counter-drone systems and air defence, shaped by last year's conflict with Pakistan. South Korea's Saab signed a \$2.54 billion Gripen E contract with Ukraine. AeroVironment landed a \$500 million counter-UAS contract. Ukraine's deep-strike drone campaign surged 1,150% in 2026. And a GAO report revealed that only 25% of the F-35 fleet is fully mission capable — a shadow over every allied air force that depends on it. All of this converges on the NATO summit in Ankara starting July 7, where European allies claim they have 'largely filled' the gaps left by US military cutbacks, Trump hinted at F-35 sales to Turkey, and Italy is seeking to soften a draft €70 billion Ukraine aid package.

Why it matters:

Europe now has two competing sixth-gen fighter programmes where it had one collapsed one — GCAP and Team Gen 6 — mirroring the 1980s Eurofighter split. The UK's £298 billion plan and India's drone-heavy package reflect the same lesson from Ukraine: drones are the priority, not legacy platforms. But with only 1 in 4 F-35s mission-capable, the question of what fills the gap right now remains unanswered. The Ankara summit will reveal whether the political will matches the spending pledges.

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The Hawkish Fed and the Dollar Squeeze

Fed Chair Kevin Warsh's new era opened with a hawkish tilt that rippled across every asset class. The June meeting held rates at 3.50-3.75%, but Warsh's refusal to signal a July cut — telling Sintra attendees he holds 'the 2% line' — pushed the CME FedWatch probability of a rate hike by September to 63%. Goldman Sachs pushed its first-cut forecast to mid-2027. Esther George urged markets to 'plan for higher rates.' The dollar surged to its biggest monthly gain in nearly a year (DXY ~101.30). The yen collapsed to a 40-year low at ~162.66/dollar, forcing Japan to abandon its warning-playbook intervention for ambush tactics — spending an estimated ¥11.7 trillion (~\$72 billion) with little lasting effect. South Korea's won spiral drew \$57 billion in outflows and a margin-call trap. Gold hit an eight-month low as rate hike bets dominated. But central banks kept buying gold at record pace, shifting to domestic vaults — a signal that dollar reserve confidence is waning even as the dollar strengthens. The BOJ raised rates to 1%, a 31-year high. The ECB hiked to 2.25% in June but signalled no more for 2026, then split on the next move as energy prices fell but core inflation persisted.

Why it matters:

Warsh's Fed is rewriting the rules: shorter statements, less forward guidance, more data-dependence. The dollar rally is squeezing allies — Japan's \$72 billion intervention failed, South Korea faces a margin-call spiral — even as it signals confidence in US monetary policy. The paradox of central banks buying gold while the dollar strengthens reflects a deeper unease about the long-term architecture of reserve currencies.

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AI as Geopolitical Lever: Export Controls, Distillation Wars, and G7 Gatekeeping

Anthropic's 18-day export control ordeal ended July 1 when the US lifted restrictions on Claude Fable 5 and Mythos 5, but the precedent was set. Two days later, OpenAI's GPT-5.6 received its own White House gate — a parallel system of controlled release that amounts to AI export controls by executive fiat. France's Gabriel Attal declared 'the AI war has already begun.' Meanwhile, the AI distillation war escalated: Anthropic accused Alibaba of the largest known AI distillation attack. China's Meituan released LongCat-2.0, a frontier model built without Nvidia chips — proof that export controls are not slowing capability development as intended. CXMT landed a \$3 billion Tencent deal and IPO approval as China's memory stack consolidates. The G7 spent the week debating 'trusted partners' AI access frameworks after the Anthropic shutdown shocked allies. Japan pushed critical minerals stockpiling as China tightened rare earth export controls on Japan for the sixth month running. China countered by pitching free AI to the developing world against G7 gatekeeping. And the Chip Security Act gained industry support for GPS-tracking AI exports. The US held off blacklisting DeepSeek and 100+ Chinese firms for eight months — diplomacy over security. The UK banned social media for under-16s, the world's broadest platform restriction. India and Japan signed an economic security pact targeting semiconductors, critical minerals, and AI. Singapore's AI-driven exports hit a 38% surge, driven by data center buildout.

Why it matters:

AI export controls have become a foreign policy instrument — not just a trade restriction. The Anthropic precedent and GPT-5.6 gate show the US is willing to weaponise model access in real time, but the G7 split over how allies should be treated reveals the fragility of the framework. China's response — offering free AI to the Global South and building frontier models without Nvidia — shows that controls may accelerate the very diversification they aim to prevent.

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Ukraine's Long-Range Escalation and Russia's Fuel Crisis

Russia launched its largest barrage of the war on Kyiv on July 3 — 74 missiles and 496 drones — devastating residential areas. But Ukraine's counter-strike campaign has grown dramatically. Ukrainian forces struck a major oil terminal in St Petersburg — 850 km deep into Russian territory. Ukraine's deep-strike drone campaign surged 1,150% in 2026. Putin publicly acknowledged Russia's fuel shortages for the first time, and Russia was forced to slash domestic fuel quality standards as Ukrainian strikes crippled refinery after refinery. The energy weapon has reversed: Russia is now importing Indian petrol to cover domestic shortfalls. The IISS exposed 144 Russian drone incursions over European nuclear sites and military bases, launched from shadow fleet vessels with near-total impunity. France fined a shadow fleet tanker €1 million, and the UK seized Russian vessels in the English Channel. G7 tightened sanctions on the shadow fleet. Nord Stream sabotage charges strained German-Ukrainian ties, adding a political dimension to the military escalation. Poland warned of Russian provocation risk ahead of the NATO summit. Ukraine's frontline cities remain under drone siege — a warfare model that is spreading globally.

Why it matters:

Ukraine has turned Russia's energy infrastructure into the primary target of the war, forcing Moscow to import fuel it once exported. The 144 drone incursions over NATO nuclear sites from shadow fleet vessels represent a new form of grey-zone warfare that NATO has no adequate response for. The war is no longer just on Ukrainian soil — it is reaching St Petersburg and hovering over European nuclear facilities.

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The Trade War Escalation: USMCA, Digital Taxes, and the G7 Split

Trump's 100% tariff threat on countries imposing digital services taxes — targeting France, in particular — kept transatlantic trade on edge all week. The US declined to renew USMCA in its current form, demanding production shifts to American soil and pushing Canada and Mexico toward annual reviews. Canada responded by securing a pipeline deal to cut US export dependence. The G7 fractured on trade and tariffs at its summit. The 60% critical mineral import cap target for 2030 divided allies — Japan pushed for stockpiling, while the EU and US clashed over price mechanisms. The G7 launched a Critical Minerals Alliance, but the alliance's targets remain aspirational. Congo forfeited unused cobalt export quotas, tightening supply. China's rare earth squeeze on Japan entered its sixth month. Iran's \$12 billion in unfrozen assets as part of the nuclear deal implementation added another dimension: the sanctions relief question is now inseparable from trade policy. The UK and Japan signed an £18 billion defence and trade deal. Geely's Lotus EVs entered Canada under the Carney-Xi tariff deal, showing how trade realignment is creating strange bedfellows.

Why it matters:

The global trade system is fragmenting along multiple lines simultaneously — digital taxes, critical minerals, AI exports, and security pacts. The USMCA breakdown is the most consequential: North American supply chains that took 30 years to build are being unwound in months. The G7's inability to align on mineral caps or AI access shows that the alliance of democracies is struggling to act as one.

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Climate and Catastrophe: Heatwaves, Earthquakes, and Grid Fragility

Record heatwaves killed over 1,300 across Europe and the US, with three national all-time temperature records broken in two days. The heat shifted east through the week, disrupting energy grids, forcing rolling blackouts, and straining infrastructure not built for these temperatures. The US 250th birthday celebrations on July 4 were marred by extreme heat. Venezuela's twin earthquakes killed over 2,295 people by official count, with 50,000 still missing and a looming health crisis. Rescue operations were hampered by the scale of destruction. In South Asia, Pakistan's cross-border strikes on Afghanistan killed at least 28 civilians, and the Taliban struck back — turning a regional flashpoint into an escalating border conflict. Pope Leo visited Lampedusa, the gateway island for migrants fleeing conflict and climate disruption. South Africa began mass repatriation of foreign nationals after anti-foreigner violence. Keiko Fujimori was declared winner of Peru's knife-edge presidential election weeks after the vote. Marine Le Pen faced a verdict that could end her presidential ambitions in France. And a Beijing plane crash exposed security gaps as China imposed an information blackout.

Why it matters:

The heatwaves are no longer anomalies — they are the new baseline, and infrastructure built for the old climate is failing. Venezuela's earthquakes and Pakistan-Afghanistan border violence show how natural disasters and political instability compound. The Le Pen verdict and Fujimori election result are democratic stress tests in real time.

Gaza at 1,000 Days and the Middle East Reshuffle

Gaza passed 1,000 days of devastation this week — 90% of the territory destroyed, 80% seized by Israeli forces, and over 73,000 casualties. The ceasefire that once offered hope continued to erode as deaths mounted. Israel approved 13 new West Bank settlements, entrenching facts on the ground that make a two-state solution increasingly abstract. Hezbollah rejected the Israel-Lebanon framework deal signed by the Lebanese government — leaving the northern front in a state of armed ambiguity. Iran's cyberattacks on Israel tripled even as military de-escalation held. The US-Iran nuclear deal implementation, with \$6-12 billion in unfrozen assets, reshapes the regional balance even as Khamenei's funeral processions became an intensely political succession moment. The Hormuz reopening, Iran's toll concept, and the sanctions relief for Iranian oil exports all point to a Middle East that is being reordered — not just de-escalated. The question is whether the new order includes a resolution for Gaza or merely absorbs its destruction into the background of larger geopolitical realignments.

Why it matters:

Gaza's 1,000-day milestone is a moral and political failure that is being overshadowed by larger realignments. The US-Iran deal, Hormuz reopening, and Khamenei succession are reshaping the Middle East's power structure while Gaza's destruction continues unchecked. The risk is that Gaza becomes a permanent humanitarian crisis normalised by diplomatic process elsewhere.

The Bottom Line

This week was defined by unwinding: the Iran-US war premium unwound from oil markets, the FCAS fighter programme unwound into two competing paths, and the USMCA trade framework unwound toward annual reviews and production mandates. But each unwinding created new tensions. Oil crashed but Iran is positioning for a permanent Hormuz toll. The Fed tilted hawkish but the dollar squeeze is breaking allies' currencies. AI export controls were lifted but the precedent for gating model access is now established. The NATO summit in Ankara will be the first test of whether Europe can fill the gaps left by American redeployment — and whether the alliance's political cohesion matches its spending pledges. What unwound this week is not returning to its previous shape.